NATIONAL COMPANY LAW TRIBUNAL,
NEW DELHIBENCH (COURT-II)

COMPANY PETITION NO.(CAA)-58(ND)/2020
IN
CA. (CAA)-34(ND)/2020

IN THE MATTER OF :

Priority Vendor Technologies Private Limited
15/1 Asaf Ali Road,
New Delhi 110002 **... Applicant/Transferor Company**

WITH

C2FO India Technologies Private Limited
2nd Floor Naman Centre, G Block Bandra –Kurla Complex
Bandra (East) Mumbai
Maharastra-400051 **...Non-Applicant /Transferee Company**

Section: 230-232 of the Companies Act, 2013

Order Delivered on: 05.04.2021

CORAM:

SHRI. ABNI RANJAN KUMAR SINHA HON'BLE MEMBER (J)
SHRI. L. N. GUPTA, HON'BLE MEMBER (T)

PRESENT:

For the Applicant	:	Ms. Karanveer Jindal and Mr. Vipin Sharma, Advocates
For RD & OL	:	Ms. Apoorva Chowdhary, Advocate

ORDER

PER SHRI L. N. GUPTA, MEMBER (T)

That before adjudicating the present Application on merits, the following clarifications are sought from the concerned parties.

2. That the RD (North) has filed its additional Affidavit dated 10.02.2021, inter alia, observing the following : "

> 5. That by considering the reply of the Petitioner Transferor Company *vis-à-vis* the observations of the Deponent as stated above (given in our earlier Affidavit dated 18.01.2021), the observations of the Deponent are as under:
>
> a. As regards the observation given in Para 10(a)(i) & (ii) of our Affidavit dated 18.01.2021, the Petitioner Transferor Company has not given any reply since both of the above are matter of facts, hence, no comments.
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> b. As regards the observation given in Para 10(a)(iii), (iv) & (v) of our Affidavit dated 18.01.2021, the Petitioner Transferor Company has replied in Para 2(a) of their reply by giving emphasis upon the shareholders' resolution passed on 06.12.2017 under Section 55 of the Companies Act, 2013 read with Companies (Share Capital & Debentures) Rules, 2014 for issue of 1,030 number of Compulsory Convertible Preference Shares (CCPS), which was complied by the company by filing return of allotment (PAS-3) with ROC on 09.01.2018.
>
> c. As regards observation given in Para 10(a)(vi) of our Affidavit dated 18.01.2021, the Petitioner Transferor Company in their reply given in Para 2(a) has admitted that there is an inadvertent error in showing the date of Extraordinary General Meeting (EGM) as on 06.01.2018 which was actually convened on 06.12.2017.

d. As regards observation given in Para 10(a)(vii) of our Affidavit dated 18.01.2021, the Petitioner Transferor Company has furnished their reply in Para 2(b) by stating in detail about the issue and redemption of Preference Shares issued by the company and utilization of proceeds received by issue of shares at high premium. The Petitioner Transferor Company has also stated in their reply about redemption of 1,545 number of CCPS having face value of Indian National Rupee (INR) 200/- each at a premium of INR 51,383.44/- per share aggregating to INR 7,96,94,414.80/- on 18.09.2019 by complying the provisions of Section 52(2)(d) and 55(2)(a) of the Companies Act, 2013. In their reply, the Petitioner Transferor Company has not justified the issue and redemption of shares at high premium which were observed by ROC, NCT of Delhi & Haryana, and also has recommended it to be examined by Income Tax Department. The Deponent is having the same view since the Petitioner Transferor Company has issued shares at high premium even though it has no material turnover in their books of accounts and also has negative Earning per Share (EPS) as evident from the latest Balance Sheets as at 31.03.2018 and 31.03.2019 enclosed with the petition.

"

3. The Income Tax Department has filed its report dated 02.02.2021, wherein they have given 'no objection' towards the approval of the Scheme. From perusal of the record, it is observed that the Income Tax Department's report precedes the additional Affidavit dated 10.02.2021 filed by the RD (North).

4. Since the Income Tax Department has not commented or filed its report based on the issues raised by the RD (North) vide their additional Affidavit dated 10.02.2021, we consider it appropriate to direct the RD (North) to supply documents, namely, its Report dated 18.01.2021, its additional Affidavit dated 10.02.2021 along with a copy of the Rejoinder dated 25.01.2021 filed by the Applicant Company, within one week from today to the Income Tax Department to enable them to examine the matter.

5. The Income Tax Department is directed to examine the matter in the light of the observations and issues raised by the RD (North) and file its independent report with a clear recommendation on the Scheme by way of an additional affidavit within two weeks from the date of receipt of the documents from the RD (North).

6. The RD (North) and RoC are further directed to clearly indicate to this Bench whether the Scheme proposed by the Applicant Companies is in violation of any of the provisions of Companies Act, 2013 or any

other provision of law. The RD (North) and RoC are directed to file its report by way of an additional affidavit with a clear recommendation with regard to approval or otherwise of the Scheme within one week from today.

7. That since the Registered office of the Transferee Company is in Mumbai, the Applicant Company is also directed to apprise this Bench about the status of Approval of the Scheme by the Mumbai Bench of NCLT by filing an additional affidavit stating the requisite facts within 7 days from today.

8. The matter is accordingly de-reserved. List the matter on 28.04.2021.

-Sd-

(L. N. Gupta)
Member (T)

-Sd-

(Abni Ranjan Kuma Sinha)
Member (J)